

from this trend, depending on the value they offer buyers. Speaking to Digit, he said that Counterpoint Research expects India's refurbished smartphone market to grow by around 12 per cent YoY (year-on-year) in 2026. At the same time, the new smartphone market is projected to decline by around 11 per cent. He believes this could make 2026 an important year for the country's secondary smartphone market.



Tarun also points out that premium Android smartphones are now reaching price levels close to Apple's iPhone lineup. As the price gap narrows, he believes Apple could continue to enjoy an advantage because of its strong brand and aspirational appeal.

Not everyone expects a refurbished boom

However, not every market expert agrees that rising smartphone prices will lead to a major shift towards refurbished devices. Citing research by the CMR Group, Prabhu Ram stated that buyers in tier-one cities are still expected to upgrade to premium smartphones despite higher prices.

He further added that, unlike consumers in tier-one cities, those living in tier-two and tier-three cities are becoming more cautious at spending. Instead of immediately replacing their phones, many are delaying upgrades or making use of EMI plans, exchange programmes and festive offers to keep purchases affordable. Ram believes this trend will continue through 2026.

Value segment rules the market

Even as premium smartphones continue to attract attention, affordable

and mid-range devices remain the backbone of India's phone market.

Ram said that CMR believes that the Rs 7,000 to Rs 25,000 segment will continue to account for the highest sales volumes. While at the same time the Rs 25,000 to Rs 50,000 category is expected to grow the fastest as more buyers look for premium Android smartphones with 5G support.

He also said that this shows that Indian consumers are still interested in buying new smartphones. Instead of moving away from new devices, many are simply adjusting their budgets or choosing financing options to make purchases easier.

Moreover, he believes that the overall smartphone market in India could decline by around 10 per cent in calendar year 2026, but that does not automatically mean refurbished phones will become the preferred choice for most buyers.

Where both analysts agree

While their ideas on the refurbished market differ, both analysts, Tarun Pathak and Prabhu Ram, agree that the smartphone prices are expected to remain under pressure in 2026 as higher memory costs continue to affect the industry.

Both analysts also believe that India's new smartphone market will see a slowdown in the coming year, although their estimates vary slightly. Moreover, they agree that consumers will become more cautious with spending and will look for better value before making a purchase. Whether that value comes through a refurbished smartphone, exchange offers, EMI plans, or discounts will depend on individual budgets and preferences.

Refurbished devices offer better value

Yug Bhatia, Founder of Control Z, a company that deals in refurbished and used smartphones, believes that the recent price hikes on the recently launched and upcoming smartphone



models could help the refurbished phone market grow faster.

He said that the prices of refurbished smartphones have also increased because more people are buying them, and supply remains constrained. However, even after the price increase, refurbished phones are still cheaper and offer better value than new smartphones.

Bhatia said that many people who would have bought new phones are now choosing refurbished ones instead. He believes this change is helping the refurbished smartphone industry grow faster than expected and may bring forward the market's expected growth over the next two to three years.

Will the smartphone market change?

Phone memory chips are getting more expensive, and supply shortages are pushing up smartphone prices across the market. As a result, consumers are becoming more careful with their purchases, paying closer attention to whether the specifications offered by a brand deliver good value for money. Moreover, as smartphone prices continue to rise, many buyers may consider buying a refurbished device instead, as a new smartphone may not offer significantly better value. **[i]**

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